

Oakwood Learning Studio - Loan Readiness Report

SchoolStack Budget Consultant Analysis

Executive Summary

Oakwood Learning Studio projects \$400,145 in Year 5 revenue with a 37.6% profit margin. The model tells a strong financial story with 8 of 13 key metrics in healthy range, a great foundation for your mission.

Lender Readiness Assessment

Ready to share — keep polishing the narrative.

This model demonstrates strong financial fundamentals: a clear path to profit, controlled costs, a sustainable revenue mix, and adequate debt coverage. Your projections are grounded and achievable.

Key Financial Metrics

Metric	Value	Status	Interpretation
Revenue per Student (Year 1)	\$8,282	& Warning	Per-student revenue is moderate, so consider whether tuition or supplemental funding can increase.
Cost per Student (Year 1)	\$7,162	& Warning	Cost per student (\$7,162) is approaching revenue per student (\$8,282). Monitor expenses closely to maintain a sustainable margin.
Staffing Cost (% of Revenue)	52.0%	' Good	Staffing costs are well-controlled, giving you room for other priorities.
Operating Cost (% of Revenue)	34.2%	& Warning	Operating costs are moderate, so watch rent escalation and service costs over the 5-year period.
Profit margin (Year 1)	13.5%	' Good	Year 1 shows a healthy surplus, a strong start for a new school.
Profit margin (Year 5)	37.6%	' Good	By Year 5 the model shows strong profit, and your school is on track for financial sustainability.
5-Year Revenue Growth	141.6%	' Good	Strong projected revenue growth over the 5-year period.
Capacity Utilization (Year 5)	88.9%	' Good	Year 5 enrollment approaches facility capacity, an efficient use of space.
Days Cash on Hand (Year 1)	57 days	& Warning	57 days of cash on hand is above the minimum but below the 90-day target. Build reserves to create a larger buffer.
Cash Trough (Minimum Cash Month)	Month 1: \$647	& Warning	Your lowest cash point is Month 1 at \$647. Lenders look at this to make sure you won't run out of money before tuition collections start. Consider building reserves.
Debt Service Coverage Ratio (Year 1)	5.77x	' Good	DSCR is above 1.25x, and your operating income comfortably covers debt payments.

Philanthropy (% of Revenue)	11.6%	' Good	Philanthropy supplements earned revenue — a healthy mix.
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Operating Reserve (Year 5)

18.9 months

' Good

By Year 5, the school has built a healthy operating reserve of 3+ months, a strong foundation for long-term stability.

Strengths & Risks

Biggest Strength

Strong Year 5 profit

Biggest Risk

No major red flags detected, so continue refining assumptions as you gather real data.

Recommendations

Priority	Recommendation	Details
LOW	Plan for Tuition Collection & Discount Risk	Private schools face collection risk from late payments, withdrawals, and financial aid shortfalls. With 88.6% of revenue from tuition, build a 5–10% bad debt reserve into your budget. Factor in tuition discount rates for merit/need-based aid and maintain clear enrollment contracts with payment terms.
MEDIUM	Stress-Test Your Enrollment Assumptions	Model what happens if enrollment comes in 20% below plan. Understanding your downside scenario helps you prepare contingency plans.
LOW	Document Your Growth Strategy	Great projections are backed by a clear plan. Document your marketing strategy, enrollment pipeline, and community outreach, as this is the roadmap that turns your numbers into reality.

Revenue Composition

Year	Tuition & Fees	Public Funding	Philanthropy
Year 1	88.6%	0.0%	11.6%
Year 2	93.4%	0.0%	6.8%
Year 3	96.9%	0.0%	3.2%
Year 4	99.1%	0.0%	1.1%
Year 5	99.4%	0.0%	0.7%

Cost Structure

Year	Staffing % of Rev	Facility % of Rev	Total OpEx % of Rev
Year 1	52.0%	16.8%	34.2%
Year 2	63.6%	13.7%	25.5%
Year 3	53.4%	11.5%	22.1%
Year 4	47.0%	10.1%	19.9%
Year 5	43.6%	9.4%	18.7%

Cumulative Financial Trajectory

Year	Cumulative Profit	Reserve (Months)
Year 1	\$22,397	1.9 months
Year 2	\$49,352	2.6 months
Year 3	\$124,332	6.4 months
Year 4	\$243,249	12.1 months
Year 5	\$393,742	18.9 months

Stress Test Scenarios

Scenario	Y1 Profit	Final Profit	Break-Even	Reserve (mo)	Y1 DSCR	Runway (mo)
Enrollment 20% Below Plan	-\$4,969	\$75,544	Y3	7.2	-0.06x	60+
Loss of Philanthropy	\$3,659	\$147,921	Y1	16.5	1.78x	60+
Hard revenue only	\$3,659	\$147,921	Y1	16.5	1.78x	60+
Occupancy +15%, Personnel +5%	\$13,536	\$134,960	Y1	14.8	3.88x	60+
Revenue Delayed 3 Months	-\$16,260	\$51,635	Y3	1.7	-2.46x	9
Interest Rate +2%	\$22,598	\$150,693	Y1	19.0	5.59x	60+